

DXC Technology

A shrinking managed-services incumbent trying to convert legacy estate ownership into an AI repositioning · [dxc.com](#)

2017

Founded

~\$12.6B

FY2026 revenue

-6.6%

Q4 organic growth

~\$650M

Free cash flow

1.13x

TTM book-to-bill

01 Overview

The smallest and weakest-performing of the large integrators tracked here. Revenue has declined organically in every quarter of FY2026 and Q4 EBIT turned negative at -\$39M. What it does have is deep ownership of client legacy estate — including the Hogan core banking code

Offering: Managed infrastructure, application services, cloud operations, security, insurance software and analytics — largely running estate that clients have outsourced. Now organised into a Core Track (the existing business) and a Fast Track (new differentiated offerings), under an Xponential AI framework, with OASIS as its AI-based...

Key facts

HQ: Ashburn, Virginia

Ownership: Public (NYSE: DXC)

Revenue: Approximately \$12.6B in FY2026 (year ended 31 March 2026), derived from the four reported quarters and consistent with guidance of \$12.67–12.81B. Revenue declined every quarter on an organic basis — 4.3%, 4.2%, 4.3% and 6.6%

Web: [dxc.com](#) · [LinkedIn](#)

Key people: Raul Fernandez (President & Chief Executive Officer) · David Herzog (Chairman of the Board)

Digital twin: No · **GenAI:** Yes (OASIS, Xponential AI)

02 Use Cases & Reported Metrics

Sector	Deployment	Reported impact	Source
Financial services — legacy modernisation	Extension of the Hogan core banking platform through lightweight, AI API-centric interfaces rather than replacement. Fernandez has framed this as an extension rather than a revival, arguing that DXC's ownership and maintenance of...	Positioned to let banks offer new services at a fraction of the cost and speed of rebuild;	Link
AI orchestration	Launch of OASIS, an AI-based orchestration platform, alongside the Xponential AI framework and the formal split into Core Track and Fast Track operating models.	Positioned as the vehicle for repositioning DXC for AI-driven enterprise IT	Link
Financial performance	Margin and cash discipline pursued while the top line declines — the central management priority across FY2026.	Q3 EBIT of \$179M at a 5.6% margin, up 22.6%; free cash flow guidance raised to ~\$650M from ~\$600M; but Q4 EBIT fell to -\$39M	Link

03 Competitive Landscape

Other vendors in this market: Accenture · Aziro · Bain & Company · Booz Allen Hamilton · Boston Consulting Group · Capgemini · Cognizant · Deloitte

Where it sits: DXC's relevance is specific and narrow: it holds and maintains legacy systems that other vendors would propose replacing. The Hogan strategy is the clearest example — rather than reviving or rebuilding the core banking platform, it is being extended through lightweight AI APIs, on the argument that owning and maintaining the code gives DXC a position no one else can take.

04 GIP & BlackRock Connections

GIP became a wholly-owned BlackRock subsidiary in October 2024 and now operates as BlackRock's dedicated infrastructure-investment arm. Stakes below are standard institutional/index-fund positions unless otherwise noted.

Entity	Possible connection
Global Infrastructure Partners	No publicly disclosed GIP relationship. The likeliest route in is an inherited managed-services contract at a PortCo rather than a new selection. Given the revenue trajectory, contract renewal and service continuity are worth reviewing wherever DXC is already embedded.
BlackRock	No publicly disclosed operating relationship; standard index holdings of DXC only.

05 Sentiment

Customer: The honest read is that the customer base is shrinking. Organic revenue fell in every quarter of FY2026 and the decline steepened to 6.6% in Q4. Management points to bookings growth and improved client connection;

What supports the story

- Deep ownership of client legacy estate, including source code for platforms like Hogan, which competitors cannot replicate
- Free cash flow guidance raised during the year to approximately \$650M despite declining revenue
- Adjusted EBIT margin guidance of 7.0–8.0% held through the year, with Q3 EBIT up 22.6%

What to pressure-test

- Organic revenue declined in all four quarters of FY2026, worsening to 6.6% in Q4
- Q4 EBIT turned negative at -\$39M, a 111% year-over-year swing
- Bookings are inconsistent — Q2 book-to-bill of 0.85, Q3 bookings down 6% — so the turnaround is not yet visible in forward demand

Employee: Not covered in this pass — no current headcount disclosure or reliable employer-review data was gathered. Given a multi-year revenue decline, treat delivery-team stability as something to test directly rather than assume.

Sources: DXC Technology public filings/website, company fact sheets, Wikipedia, PitchBook/Crunchbase/Datanyze/BuiltIn profiles, Glassdoor employer reviews, vendor case studies and press releases as of Sept. 2026. Figures marked "est." or "not disclosed" are third-party estimates or unavailable — not company-confirmed — validate in diligence. Part of the Physical AI / Industrial AI for Critical Infrastructure market landscape.